Financial Analysis Report

B BUS 350 – Business Finance

Group Number: Group 11
Course Time: 3:30-5:30 pm

Group Members:

- Jake Hiu
- Manas Raut
- Enoch Jin

Financial Summary

FUNKO, INC.

Financial Metric	2025	2024	% Change
Revenue	908,209	1,049,850	-13.5%
EBIT (Operating Income)	-45,543	12,991	-450.6%
Net Income	-67,360	-14,718	357.7%
Total Assets	685,234	707,254	-3.1%
Total Debt	224,178	122,815	82.5%
Cash & Cash Equivalents	42,148	34,655	21.6%
Cash from Operations	-5,120	123,524	-104.1%
Cash from Investing Activities	-31,902	-25,228	26.5%
Cash from Financing Activities	42,037	-99,242	-142.4%
Diluted EPS	-1.24	-0.28	342.9%

Analysis:

Looking at the 2026 10k financial report for FUNKO, INC. I've notice a 450.6% decrease in operating income. Shifting from positive to negative, which tells us that the company's core operations are no longer profitable, which we can see a turn over from operating expenses like cost of good sold to be a deficit. Since EBIT reflects performance before interest and taxes, this decline shows that business itself is facing operational challenges. We can also see that [Total Debt] has a 82.5% increase which would not look good in the eyes of Funko's shareholders. This provides additional evidence of declining operating performance and financial stability for FUNKO, INC.

Ratio	Funko	Hasbro	Mattel	Industry Avg
Net Profit Margin	-7%	-7%	7%	5.19%
Current Ratio	1.19	1.38	2.15	1.76
Debt-to-Equity	1.20	5.77	1.04	0.21

Rationale:

I chose Net Profit Margin because I think it is one of the best ways to measure how profitable a company really is. It shows how much money a company keeps from its sales after paying all expenses. A company can have high sales, but if expenses are too high, profit may still be weak. In this case, Funko, Hasbro, and Mattel all had 7%, which is above the industry average of 5.19%. That tells me they are doing a solid job turning revenue into profit.

I chose the Current Ratio because it helps show if a company can handle its short-term bills and obligations. In simple terms, it measures if the business has enough current assets to cover current liabilities. I think this ratio matters because even profitable companies can run into trouble if they do not have enough cash or liquid assets. Looking at the table, Mattel had the strongest current ratio at 2.15, while Funko had 1.19. That suggests Mattel may be in a stronger short-term financial position.

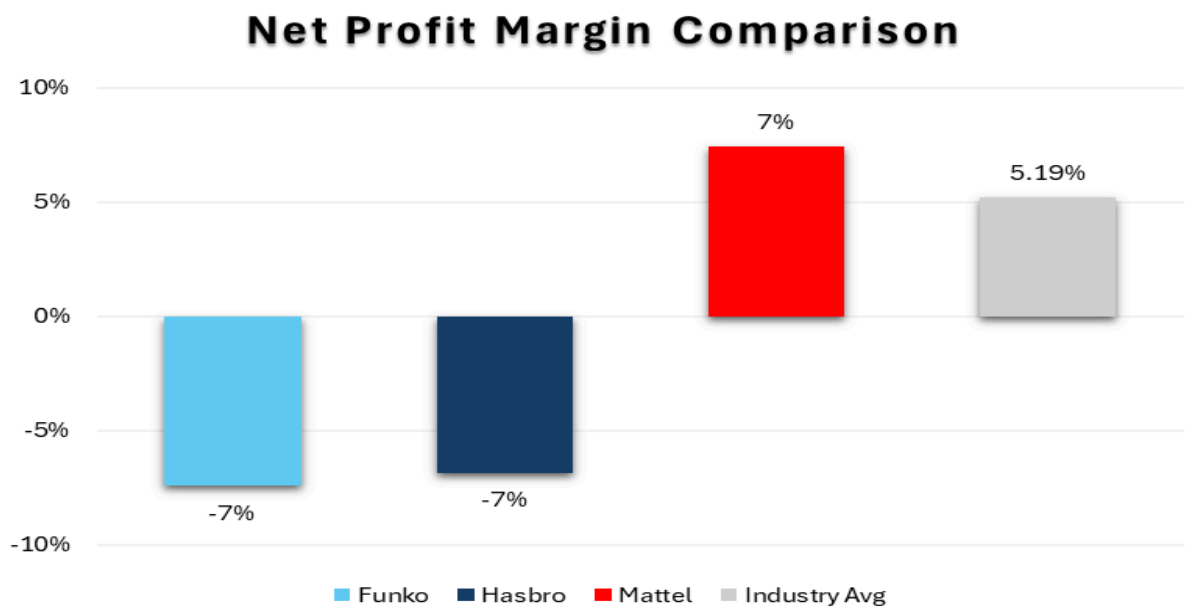
I also chose the Debt-to-Equity Ratio because it shows how much a company relies on debt compared to shareholder equity. This ratio is useful because it gives an idea of financial risk. Usually, a lower ratio means less dependence on borrowing, while a higher ratio can mean more pressure from debt payments. In the table, Hasbro had the highest ratio at 5.77, which stands out a lot compared to Funko at 1.20 and Mattel at 1.04. In my view, this could mean Hasbro is taking on more financial risk than the others.

Net Profit Margin:

Funko = $\frac{-67,360}{908,209}$ = -7%

Hasbro = $\frac{-322.4}{4701.3}$ = -7%

Mattel = $\frac{397,584}{5,347,623}$ =7%



Analysis:

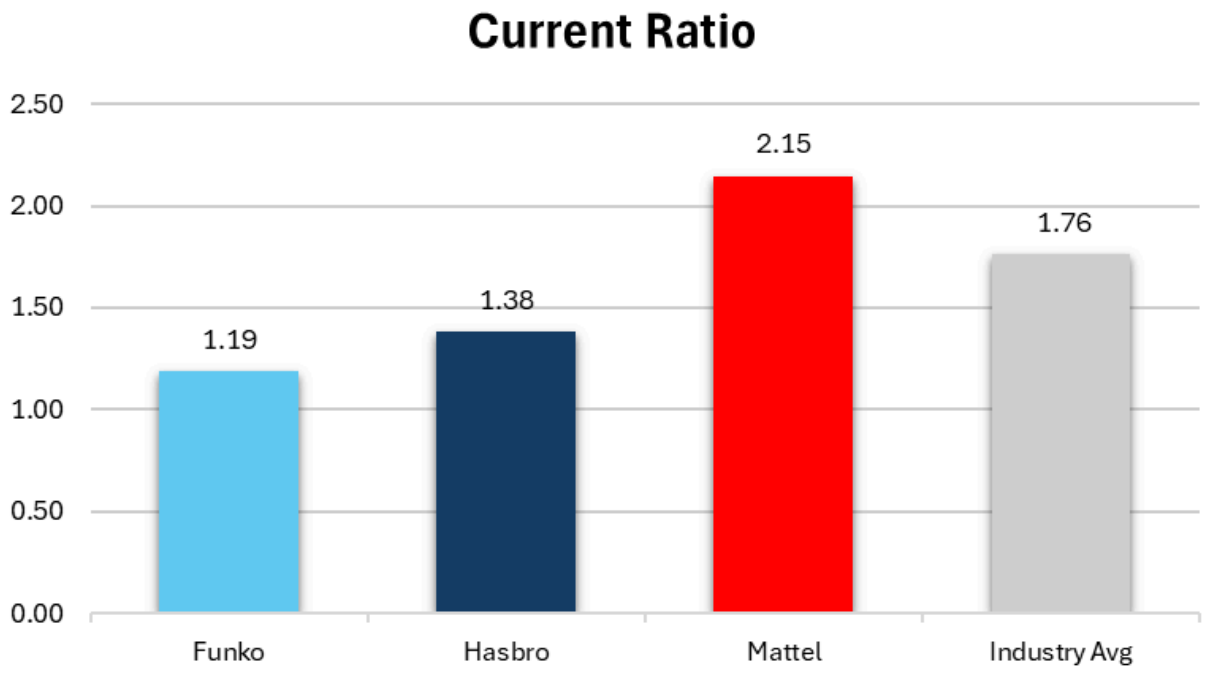
Although both Funko and Hasbro have negative net profit margins of -7%, Mattel shows a positive margin of 7%, indicating stronger profitability. Compared to the industry average of 5.19%, Funko and Hasbro are underperforming. This suggests the issue is more company-specific rather than industry-wide, likely due to higher costs or weaker operational efficiency.

Current Ratio:

Funko = $\frac{290,396}{243,917}$ **= 1.19**

Hasbro = $\frac{2583.7}{1871.1}$ **= 1.38**

Mattel = $\frac{3,130,789}{1,458,182}$ **= 2.15**



*Industry average current ratio data is not directly available in the dataset used, so an external estimate was used for comparison purposes.**

Analysis:

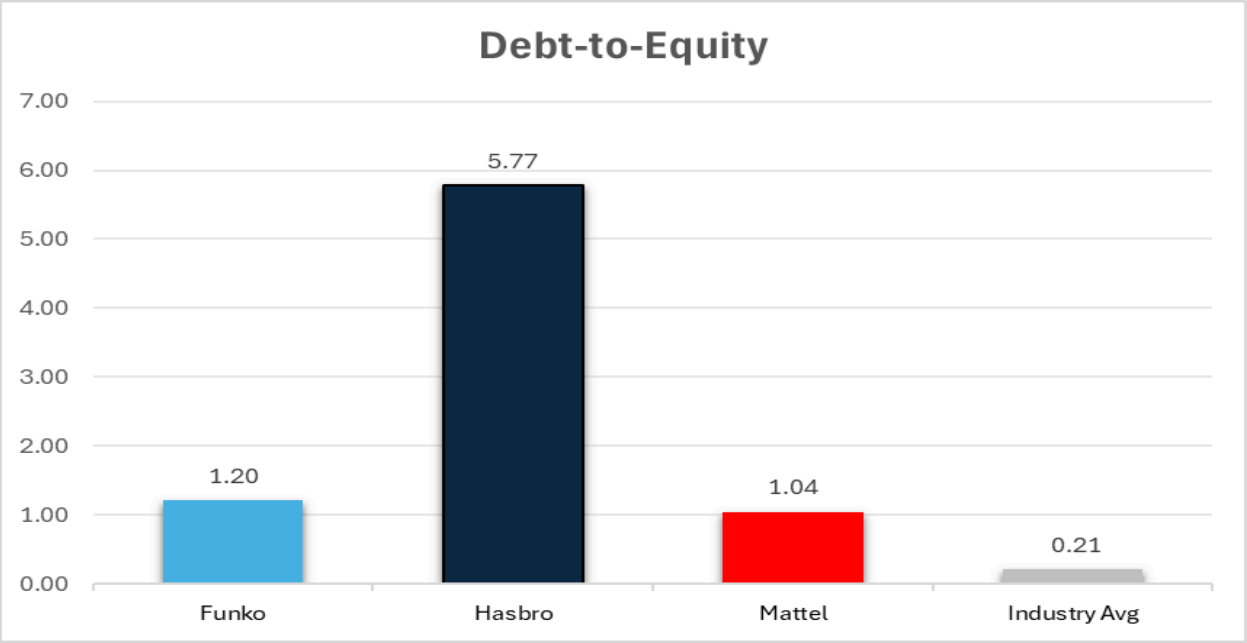
By looking at the ratios, Funko with a 1.19 current ratio suggest that it can handle its short-term obligations, however it is operating at a lower liquidity level compared to its competitors. I believe this means that Funko has less flexibility when it comes to short term financial pressure. While comparing to Industry avg of 1.76, Funko is underperforming. Therefore I strongly recommend Funko to improve it's short-term asset management to strengthen it's financial stability.

Debt-To-Equity:

FUNKO = $\frac{224,178}{186,130}$ **= 1.20**

Hasbro = $\frac{3264.9}{565.5}$ **= 5.77**

Mattel = $\frac{2,331,675}{2,233,048}$ **= 1.04**



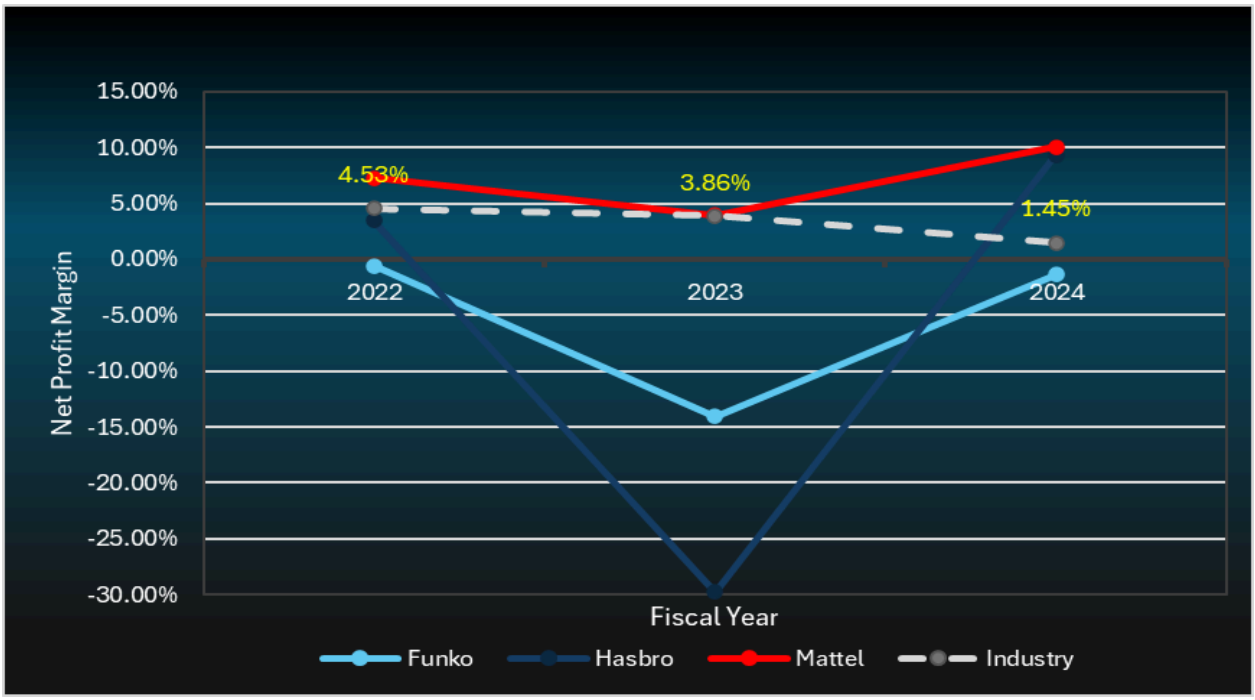
Analysis:

From the graph, Hasbro has the highest debt-to-equity ratio at 5.77, which is significantly higher than both Funko (1.20) and Mattel (1.04). This suggests that Hasbro relies heavily on debt financing compared to its competitors. Funko and Mattel have similar and moderate levels of leverage, indicating a more balanced use of debt and equity.

Compared to the industry average of 0.21, all three companies are much more leveraged. This shows that firms in the toy and collectibles segment tend to take on more debt than the overall industry, possibly to support growth, acquisitions, or operations. Overall, Hasbro appears to be the most financially risky due to its high leverage, while Funko and Mattel maintain relatively more stable capital structures.

Horizontal Analysis & Sector Benchmarking:

Year	Funko	Hasbro	Mattel	Industry
2022	-0.61%	3.47%	7.25%	4.53%
2023	-14.06%	-29.77%	3.93%	3.86%
2024	-1.40%	9.32%	10.07%	1.45%



Comparative Horizontal Analysis of Net Profit Margins (2022-2024). Data sourced from SEC 10-K filings and Damodaran Industry Benchmarks*

Discussion:

From the Horizontal analysis, we see Funko's net profit margin declines significantly from -0.61% in 2022 to -14.06% in 2023, before recovering back to -1.40% compared to the industry average. Funko underperforms in all years, indicating weak and unstable profitability. Meanwhile the industry average steadily declines from 4.53% to 1.45%, telling us that this part of the industry sector have been weakening in the market in terms of profitability. Base on the graph above, I believe Mattel has been the strongest and most stable by far. Making it a worthwhile investment, while FUnko shows ongoing struggles and may be riskier. Hasbro presents a high-risk, high-reward profile due to it's volatility in the market.

Work Cited:

Funko, Inc.

- **Funko, Inc. *Form 10-K for the Fiscal Year Ended December 31, 2023*. U.S. Securities and Exchange Commission, 7 Mar. 2024, www.sec.gov/Archives/edgar/data/1704711/000170471124000012/fnko-20231231.htm.**

Mattel, Inc.

- **Mattel, Inc. *Form 10-K for the Fiscal Year Ended December 31, 2024*. U.S. Securities and Exchange Commission, 25 Feb. 2025, www.sec.gov/Archives/edgar/data/63276/000006327625000011/mat-20241231.htm.**

Hasbro, Inc.

- **Hasbro, Inc. *Form 10-K for the Fiscal Year Ended December 29, 2024*. U.S. Securities and Exchange Commission, 27 Feb. 2025, investor.hasbro.com/static-files/907864f3-ac17-487e-a818-05367f1d770a.**

Financial Summary

Boeing Co.

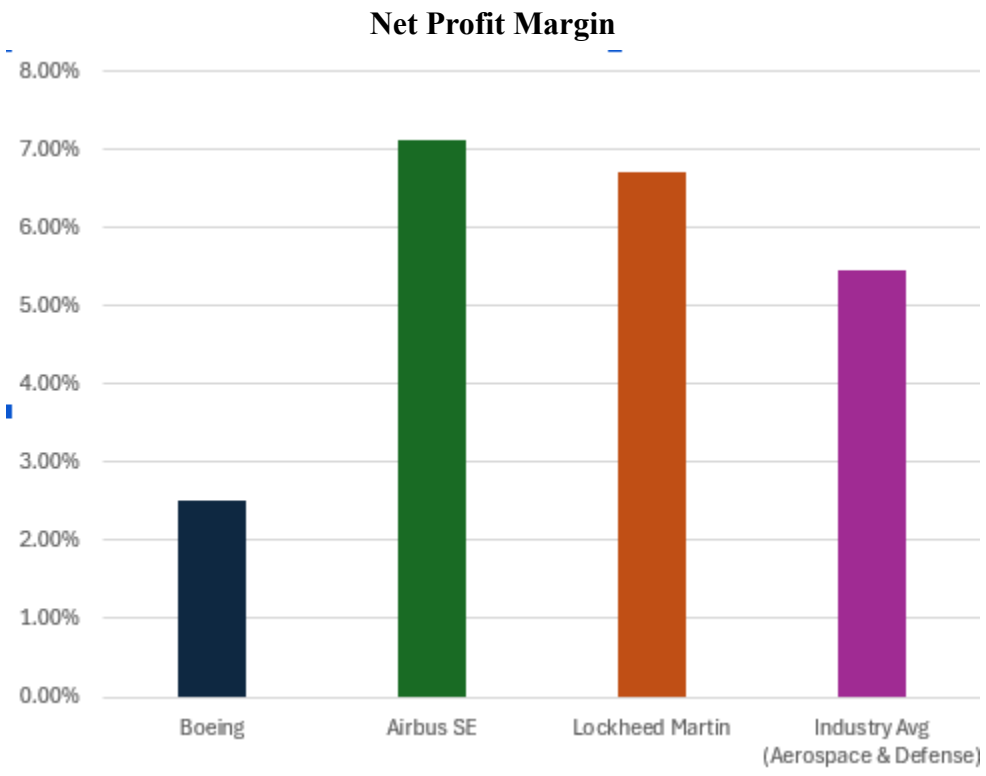
U.S dollars in millions, except per share data	2025	2024	% Change
Revenues	89,463	66,517	34.5%
EBIT (Operating Income)	4,281	(10,707)	139.98%
Net Income	2,238	(11,829)	118.92%
Total Assets	168,235	156,363	7.59%
Total Debt	162,778	160,277	1.56%
Cash & Cash Equivalents	10,921	13,801	-20.87%
Cash from Operations	1,065	(12,080)	108.82%
Cash from Investing Activities	499	(11,973)	104.168%
Cash from Financing Activities	(3,763)	25,209	-114.93%
Diluted EPS	$ 2.48	($18.36)	113.51%

Analysis
Boeing Co. shows a clear turnaround from 2024 to 2025. Revenue jumped from $66.5B to $89.5B, which points to stronger demand and more stable operations. Profitability improved the most. In 2024, Boeing had major losses, but in 2025 it reported positive operating income and net income. That shift suggests better cost control and execution. Cash flow also recovered. Operating cash flow moved from a large negative to slightly positive, meaning the core business is generating cash again. Financing cash flow dropped a lot, which likely means less borrowing or some debt repayment. Assets grew faster than debt, which is a good sign, though overall debt is still high. Cash reserves declined, possibly due to covering past losses or reducing reliance on financing. Overall, 2024 looks like a low point, while 2025 reflects a solid recovery, even if there are still some financial risks.

Financial Ratio Analysis

Boeing has one main competitor in the commercial aviation industry (Airbus), but faces a handful of competitors in the space and defense sectors (Lockheed Martin, RTX, Northrop, Grumman, and General Dynamics).

Financial Ratio	Boeing	Airbus SE	Lockheed Martin	Industry Avg (Aerospace & Defense)
Net Profit Margin	2.5%	7.11%	6.7%	5.5%
Current Ratio	1.19	1.16	1.09	1.2
Debt-to-Equity Ratio	9.91	0.55	3.2	2.0

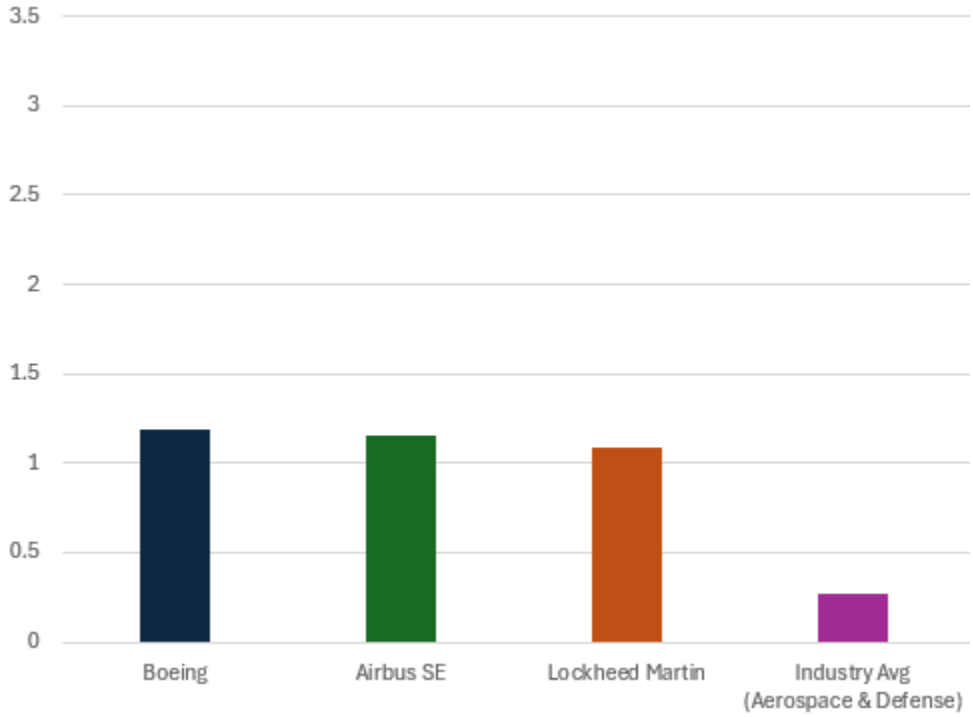


- Boeing Co. is very far behind here. Its margin is much lower compared to both industry competitors and averages. This most likely stems from Boeing's severe safety and reputation crisis in 2024. Despite a net loss of $3.9B in 2024, Boeing seems to have stabilized and is now going net positive.

- Airbus SE leads this group, which shows it's converting revenue into profit better than the others. Boeing's massive hit is most likely a leading cause for this position. As they are in a global duopoly in the aviation industry, a blunder from Boeing means a massive upturn for Airbus SE.

- Lockheed Martin sits in the middle but still strong. Its margins are solid and consistent, helped by stable government contracts. More recent news does show a downturn in Lockheed Martin's economic quarterly reports, but they seem to be stable.

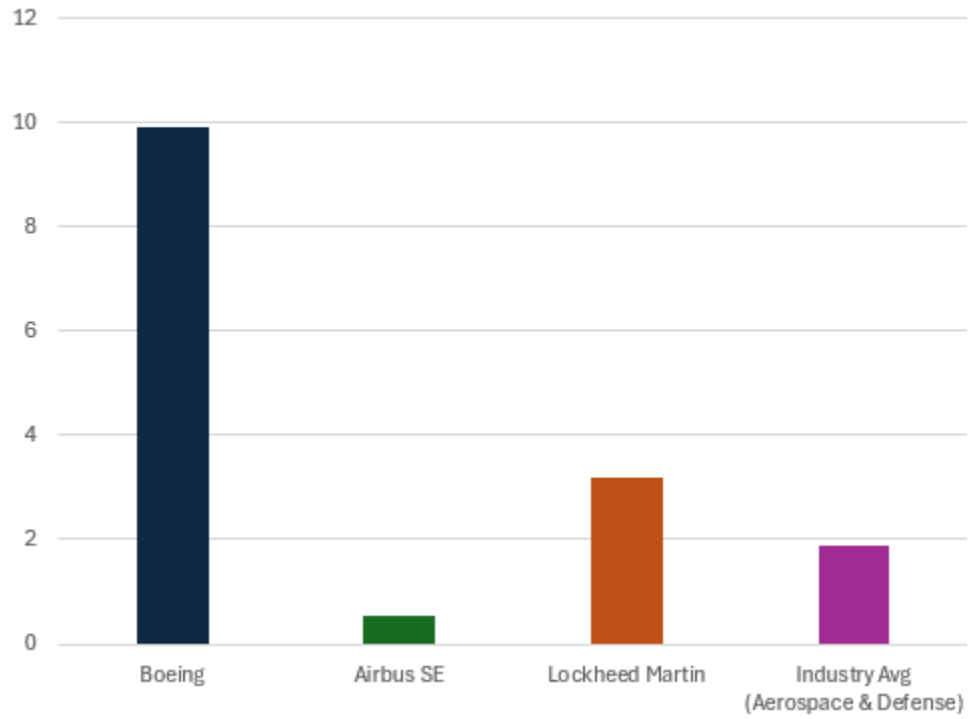
Current Ratio



- All three companies are pretty close here, which tells you none of them are struggling with short term liquidity. Boeing is slightly higher, but not enough to really matter.

- Airbus and Lockheed are just a bit lower but still in a safe range. Overall, this chart shows that liquidity is not a major differentiator between them.

Debt to Equity



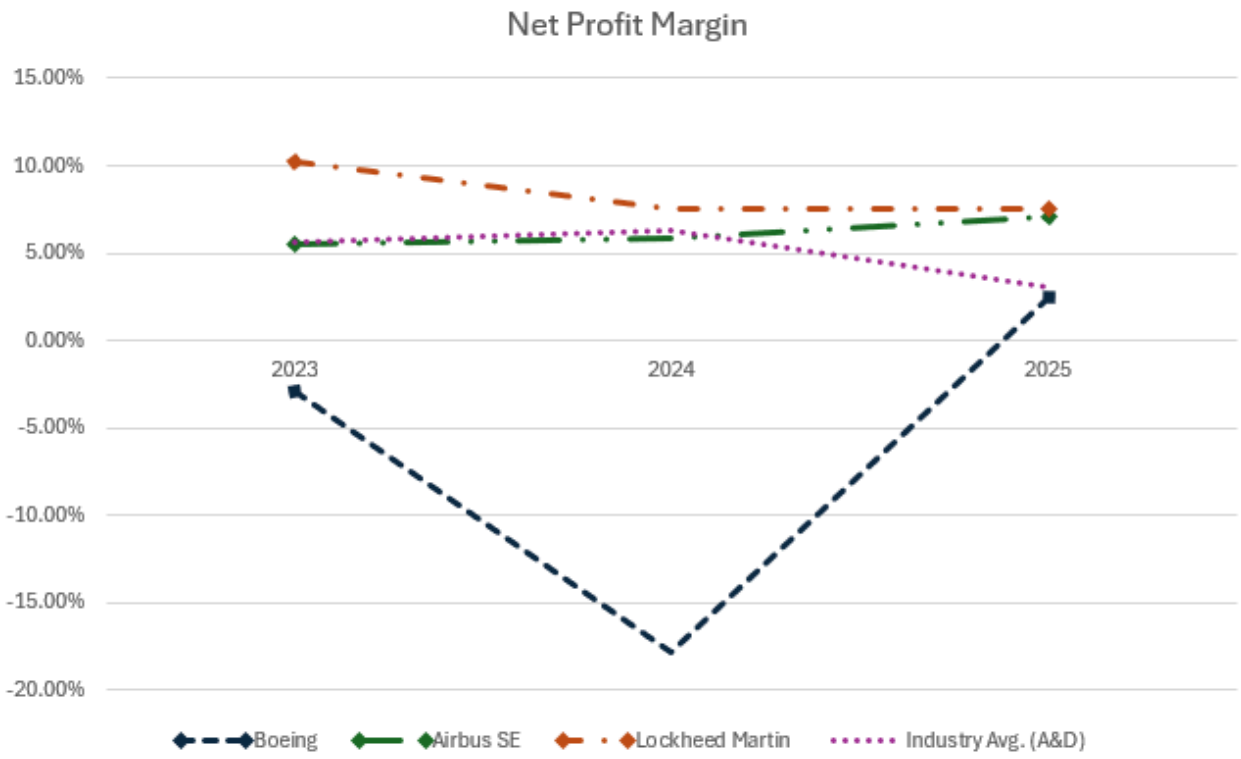
- This is where the biggest gap shows up. Boeing's ratio is extremely high due to a long term cash crunch. Groundings of 737 MAX planes, production quality issues, and a massive reputation hit. Boeing accumulated lots of debt to fund operations, leading to significant negative equity.

- Airbus actually shows a negative value, meaning it has more cash than debt. That's a really strong position financially and gives it flexibility.

- Lockheed falls in between. It uses debt, but at a manageable level, so it doesn't carry the same risk as Boeing.

Horizontal Analysis & Sector Benchmarking:

Company	2025	2024	2023
Boeing	2.5%	-17.8%	-2.9%
Airbus SE	7.11%	5.9%	5.5%
Lockheed Martin	6.7%	7.5%	10.2%
Industry Avg. (A&D)	3.0%	6.3%	5.6%



Analysis
Looking at this, Boeing is basically the outlier in a bad way, but 2025 is at least a step in the right direction. In 2023 they were already slightly negative (-2.9%), which isn't great but not catastrophic. Then 2024 drops off a cliff to -17.8% because of Boeing's safety and reputation hit in 2024.What's interesting is 2025. Boeing jumps back to +2.5%, which is a big swing. That suggests that they are surely recovering from their loss in 2024. At the same time, 2.5% is still below the industry average and way behind Airbus and Lockheed, who are sitting around 7%. It's a recovery, but not a full comeback.

Sources

https://investors.boeing.com/investors/reports/
https://www.airbus.com/en/investors/annual-reports
https://investors.lockheedmartin.com/static-files/75f3d3a5-7d3b-4a0e-879f-b36b4c716ba2
https://www.spglobal.com/spdji/en/indices/equity/sp-aerospace-defense-select-industry-index/#data

Financial Summary

FedEx Corporation

Financial Metric (in millions)	2025	2024	% Change
Revenue	$ 87,926.00	$ 87,693.00	0.3%
EBIT (Operating Income)	$ 5,217.00	$ 5,559.00	-6.2%
Net Income	$ 4,092.00	$ 4,331.00	-5.5%
Total Assets	$ 87,627.00	$ 87,007.00	0.7%
Total Debt	$ 19,899.00	$ 19,772.00	0.6%
Cash & Cash Equivalents	$ 5,502.00	$ 6,501.00	-15.4%
Cash from Operations	$ 7,036.00	$ 8,312.00	-15.4%
Cash from Investing Activities	$ (4,092.00)	$ (5,200.00)	-21.3%
Cash from Financing Activities	$ (4,019.00)	$ (3,426.00)	17.3%
Diluted EPS (not in millions)	$ 16.81	$ 17.21	-2.3%

Analysis:
Overall, comparing the numbers from 2024 to 2025, the company looks fairly stable, but there are some things worth noting. Revenue grew by less than 1%, and EBIT actually dropped by 6.2%. That means that FedEx's costs are growing at a higher rate than their sales. The Net Income and Diluted EPS also fell slightly (5.5% and 2.3% respectively). However, the most notable changes are in the Cash from Operations, which fell by more than 15%, which means that the company is bringing in noticeably less cash from its core business than the previous year. This is concerning in an industry with high real time costs like fuel, labor, and maintenance. On the other hand, Cash from Investing Activities, which is an outflow, decreased by more than 21%, which likely indicates some kind of cost-cutting measures. Also, Cash from Financing Activities (which is an outflow), increased by more than 17%, which indicates that FedEx might be paying back their debt and shareholders better.

Financial Ratio Analysis

The financial ratios chosen for Fedex and its two comparable companies (UPS, Inc. and J.B. Hunt, Inc.) are:

1. Operating Margin

Formula:

Operating Income / Revenue

Rationale:
Because the logistics and freight industry is very asset-heavy (machinery, vehicles, warehouses, etc.) and their operating costs (fuel, labor, maintenance, etc.) are very high and prone to fluctuating (most prominent example being fuel), it will be of enormous value to know which company runs the most efficient operation, which is exactly what this ratio tells us.

FedEx = 5,217 / 87,926 = 5.9%
UPS = 7,867 / 88,661 = 8.9%
JB Hunt = 865,069 / 11,999,096 = 7.2%
Industry avg = 7.6%
(Source: https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/margin.html)

2. Current Ratio

Formula:

Current Assets / Current Liabilities

Rationale:
These companies face an unpredictable demand for cash due to factors like fluctuating fuel prices, legal settlements, weather and disaster disruptions, seasonally changing demand for services, and other emergencies. That means, at any given moment, the company must have enough liquidity, in the form of short-term assets, to be able to pay for these short-term obligations. A current ratio below 1.0 means the company can't cover these short term obligations.

FedEx = 18,386 / 15,411 = 1.19
UPS = 19,045 / 15,620 = 1.22
JB Hunt = 1,604,190 / 1,935,343 = 0.83
Industry avg = 1.93

(Source: https://eqvista.com/current-ratio-by-industry/)

3. Debt-to-Equity Ratio

Formula:

Total Debt / Total Shareholders' Equity

Rationale:
Because all three companies require a lot of cash for operations as well as investments (warehouses, planes, trucks, tracking), how they finance these things is important to watch out for. Companies finance through two avenues: taking on debt or selling equity. This ratio tells us how much the company relies on debt vs equity to finance its activities. This reveals the risk a company carries.

FedEx = 19,899 / 28,074 = 70.9%
UPS = 24,367/ 16,255 = 149.9%
JB Hunt = (current portion of long-term debt + long-term debt) / total shareholders' equity
= (699,859 + 766,938) / 3,565,085 = 41.1%
Industry avg = 36.5%
(Source: https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/dbtfund.html)

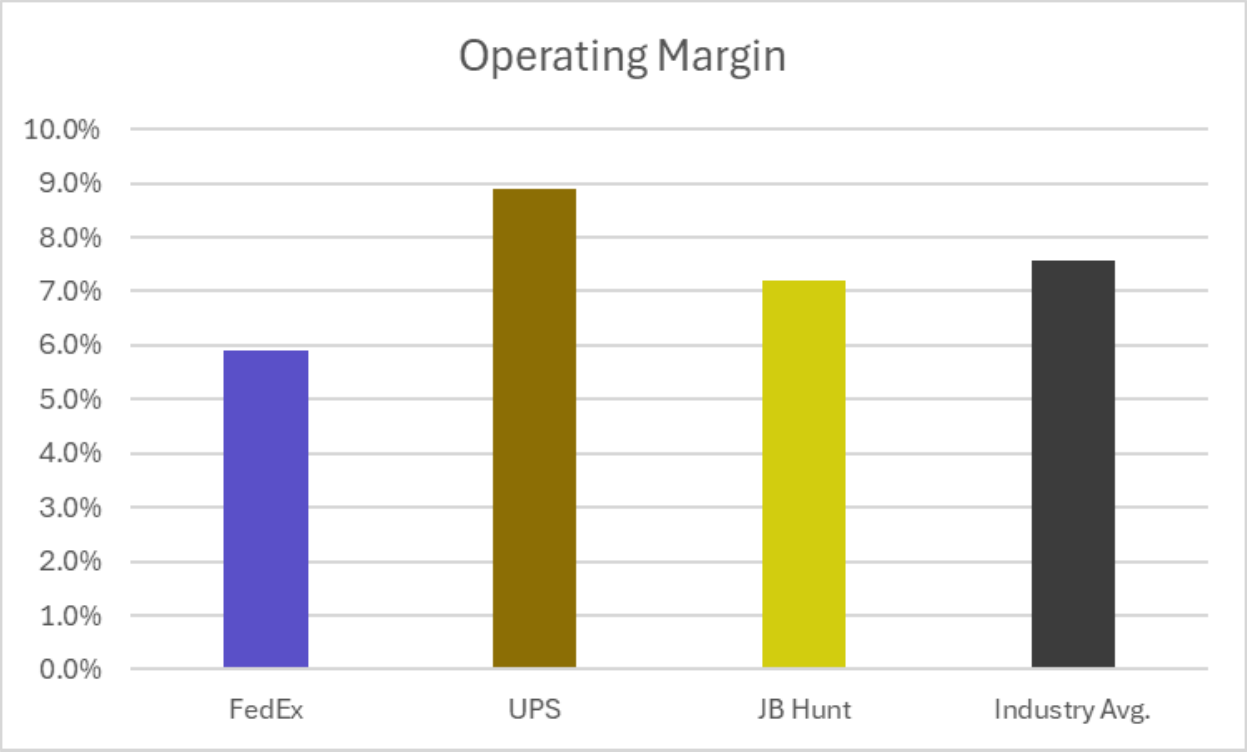
*A note on Industry averages:
The category chosen for the purpose of these comparisons is "Transportation" because it best captures all three firms and all of the operations within each firm. FedEx and UPS have large air and ground delivery networks, while JB Hunt primarily has a big trucking network. So, there was no narrower category available that could capture all three companies and all their operations.

Discussion

Financial Ratio	FedEx	UPS	JB Hunt	Industry Avg
Operating Margin	5.9%	8.9%	7.2%	7.6%
Current Ratio	1.19	1.22	0.83	1.93
Debt-to-Equity Ratio	70.9%	149.9%	41.1%	36.5%

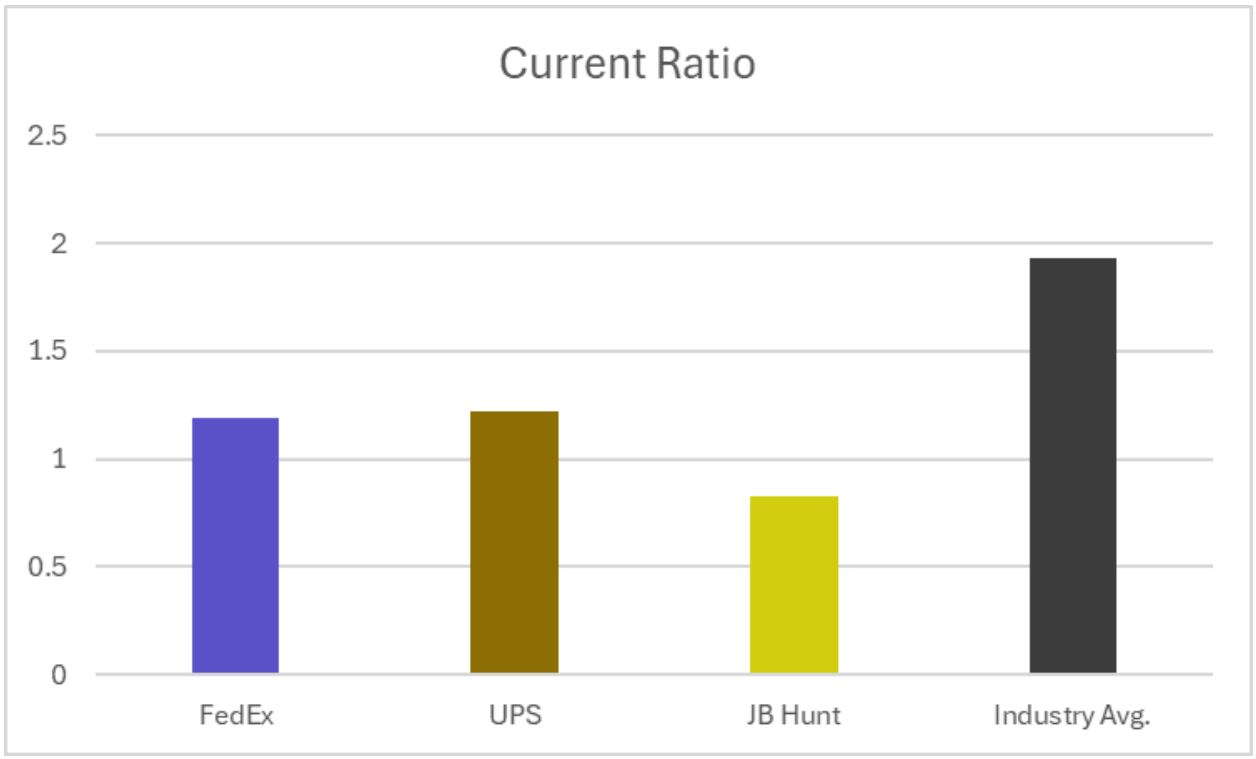
FedEx presents a mixed picture compared to its comparable firms and the industry average across all three ratios. It's being both firms and the industry average when it comes to the efficiency of its operation, and, for its size, maintains an adequate amount of short term liquidity despite being below the industry average and carries a moderate amount but above average amount of debt load. Here's a deeper look at at each ratio:

1. Operating Margin:



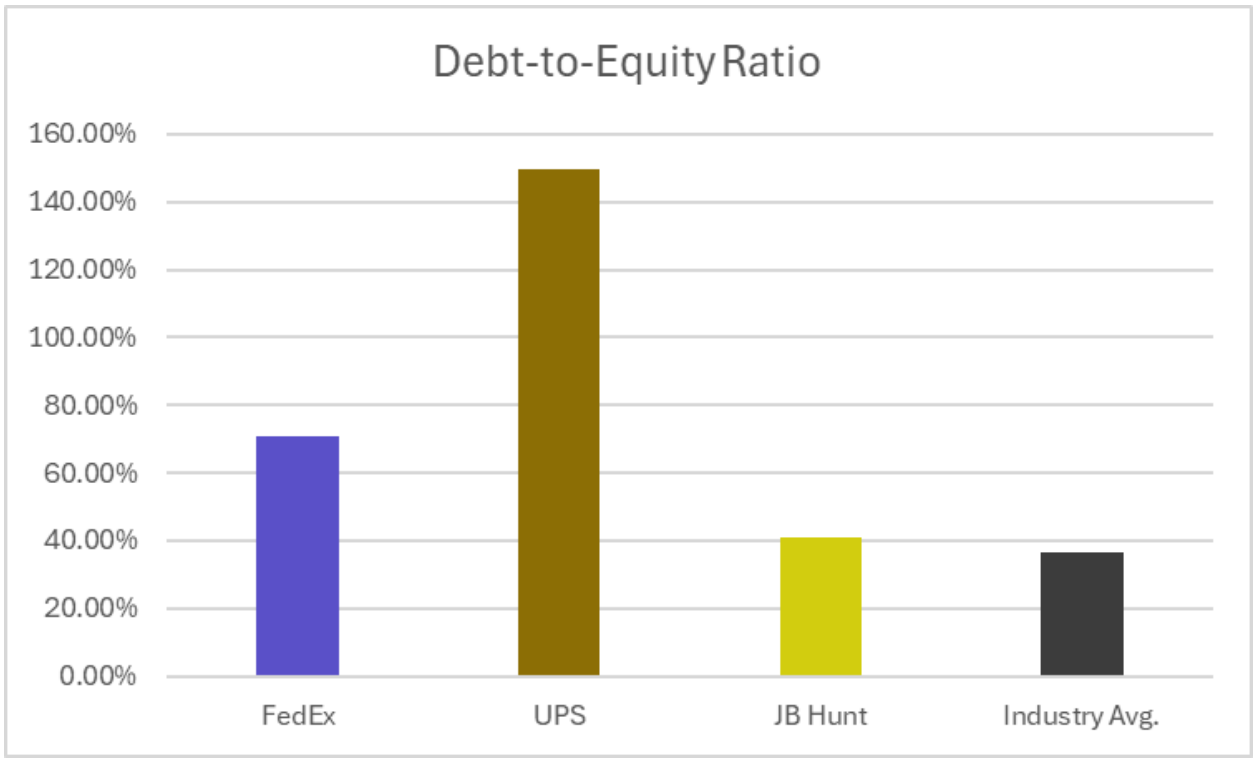
Analysis:
FedEx has the weakest Operating Margin (5.9%) of the three firms and also sits below the industry average of 7.2%. This means FedEx runs a less efficient operation compared to its comparables and the industry, which is also seen in the declining EBIT from 2024 to 2025.

2. Current Ratio:



Analysis:
FedEx sits in the middle of the two other firms, just below UPS's 1.22 and above JB Hunt's 0.83. However, all three companies fall significantly short of the industry average of 1.93, which is typical of very large scale companies in this industry because these companies have very predictable and steady cash flows compared to their smaller competitors. This means these large companies can afford to run on less liquidity than the small companies in this industry. However, JB Hunt's ratio being below 1.0 is concerning because it means its current liabilities exceed its current assets, which can become a potential problem if revenues abruptly slow down.

3. Debt-to-Equity Ratio:



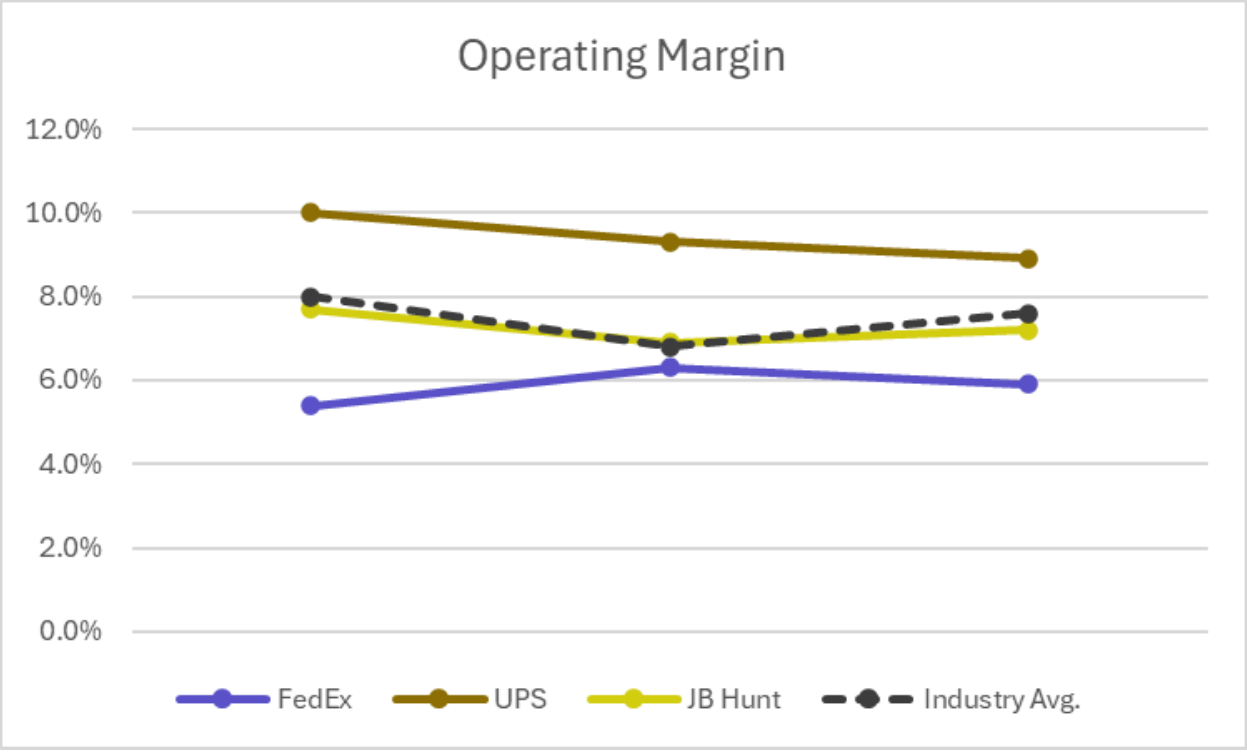
Analysis:
FedEx sits squarely in the middle of the other two companies. UPS is significantly more leveraged at 149.9% and JB Hunt is quite conservative at 41.1%. All three companies sit above the industry average of 36.5%, for the same reasons that all of their current ratios sit below the industry average: their size and predictability lets them afford to take more risk. FedEx's 70.9% reveals how capital intensive its business model is. Because owning and operating a large fleet of vehicles and aircrafts requires a significant amount of long-term financing. JB Hunt has a lower ratio because it is a smaller company compared to the other two, which doesn't allow it to afford the risk that comes with a lot of debt.

Horizontal Analysis of Operating Margins

Why Operating Margin?

FedEx, in late 2022, launched its “DRIVE” campaign, which is a cost-cutting measure and operational transformation targeting $4 billion in savings by FY2025. It is supposed to be centered around consolidating its different operating companies into one company called “One FedEx”. It aims to optimize its air, ground, and shipping operations to achieve a 10% operating margin. Because of that, Operating Margin seemed like an obvious choice for doing horizontal analysis. It will tell investors whether FedEx’s initiative is succeeding. And if it isn’t it might help answer whether FedEx is at least able to keep up with its competitors.

Company	2023	2024	2025
FedEx	5.4%	6.3%	5.9%
UPS	10.0%	9.3%	8.9%
JB Hunt	7.7%	6.9%	7.2%
Industry Avg.	8.0%	6.8%	7.6%



Analysis:
Despite launching that campaign, 2022, FedEx, compared to its two comparables as well as the industry average, remains with the lowest operating margin across all three years, and far from its stated goal of 10%. FedEx did improve from 2023 to 2024, going from a 5.4% to a 6.3% operating margin, suggesting that their efforts did make some tangible difference, but the drop back in 2025, going to 5.9%, shows that the results were not sustained. UPS got linearly worse, and JB Hunt stayed close to the industry averages, which dipped in 2024, before recovering in 2025. This shows that the dip in 2024 was probably due to broader market conditions instead of company specific issues.

Sources

Financial statements and metrics:

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https://www.sec.gov/edgar/search/#/dateRange=all&category=form-cat1&ciks=0001048911&entityName=FEDEX%2520CORP%2520(FDX)%2520(CIK%25200001048911)&filter_forms=10-K

UPS:
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JB Hunt:
https://www.sec.gov/edgar/search/#/dateRange=all&category=form-cat1&ciks=0000728535&entityName=HUNT%2520J%2520B%2520TRANSPORT%2520SERVICES%2520INC%2520(JBHT)%2520(CIK%25200000728535)&filter_forms=10-K

More information about FedEx (historical data, operations, plans, earnings calls):

FedEx “DRIVE”:
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Current Ratio:
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Debt-to-Equity Ratio:
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Industry Averages for Horizontal Analysis:
https://pages.stern.nyu.edu/~adamodar/New_Home_Page/dataarchived.html#cashflows

Funko Earnings Q&A

Funko, Inc. *Q4 2025 Earnings Call*. 2025.

Main presenters:

- Josh Simon (CEO)
- Yves Le Pendeven (CFO)

Summary:

On the earnings call, there were multiple strong financial topics covered. In Q4, earnings were better than expected, with revenue hitting about $273 million and strong margins of around 41%. Going into 2026, Josh Simon is excited from a film standpoint, with new Disney movies, a couple of new Marvel movies, and the World Cup. He believes this would be a great year as new deals and opportunities create more value for the company. Moving forward, Yves CFO of Funko, mentioned that the POS (point of sale) in Europe had a double-digit growth and expects the trend to continue into Q1.

Overall, judging from the points mentioned in the earnings call, I believe the company is showing sign of recovery. Having a strong performance in Q4 and an increase in margins suggest that the company is starting to gain back traction in terms of cost control and pricing strategy. In addition, 2026, with brand-new movies coming up, can help bring in revenue and deals for the company, potentially boosting its revenue further.

Q&A

- **Does Funko need to use any of its extended credit agreement in 2026, or will the company continue to pay down debt like they did in Q4?**

I really like this question as it talks about the debt that Funko has. Currently, Funko has $224m in long-term debt as of 2025, according to the financial statements. At the same time, their operating cash flows are -5 million in 2025. This is an important information as it shows that the company is not generating enough cash from operations to pay of it's debt.

Management responded by stating that they won't need to borrow more and will be continue paying down their debt with operating cash flow. However, on paper, it does make their response somewhat optimistic. Because of negative cash flow, it will be difficult for the company to be consistent in reducing its debt. Therefore, I believe their responses carry an uncertainty about whether the company can sustain with negative cash flow.

- **Can you quantify the tariff impact you experienced in 2025, and what incremental pressure you expect in the first half of 2026?**

Another interesting question I found was about the impact of tariffs on the company during 2025. Because when the tariff was first introduced, many cost and profitability was affected in the market. Funko, a company that relies on manufacturing and international trade, raises a huge question that investors demand answers for. However, the CFO responded by saying that total tariffs and duties in 2025 were around $40 million, with about half related to IEEPA tariffs.

However, I felt that the response was poor and vague. They've only provided a total number, but did not clearly explain how tariffs impacted margins, pricing, cost, or assets. Because of this reason, I believe their response was not fully explained, since investors would most likely want to know how these factors would affect the overall well-being of the company.

FEDEX Earnings Q&A

FedEx *Q4 FY2025 Earnings Call*.

Main presenters:

- Raj Subramaniam (CEO, President)
- Jenni Hollander (VP Investor Relations)

Summary:

FedEx's Q4 FY2025 earnings call started with CEO Raj Subramaniam honoring the passing of founder Fred Smith before diving into results.

The company reported a strong finish to the year, growing adjusted operating income by 8% on just 1% revenue growth, which management credited to the completion of their $4 billion “DRIVE” cost reduction target. Network 2.0, the next phase of their transformation, is actively rolling out with roughly 2.5 million daily packages flowing through optimized stations by the end of June 2025.

The company declined to give a full outlook for the next year due to lots of uncertainty around tariffs and global trade, offering only a Q1 outlook of $3.40 to $4.00 adjusted EPS. Important events heading into FY2026 included the expiration of the U.S. Postal Service contract, continued weakness in China-to-US volumes due to tariff changes, and a weaker industrial economy pressuring B2B volumes.

On the positive side, FedEx’s management expects $1 billion in additional transformation savings in FY2026.

Q&A

- **Can you frame how much earnings upside exists once volumes recover, given the cost savings already locked in?**

I really liked this question because it gets at the main reason someone would want to invest in FedEx right now. The whole DRIVE story only really pays off if demand comes back, so asking management to quantify what that payoff looks like is exactly what an investor needs to hear. Management said there is significant operating leverage built into the business now, meaning volume recovery should translate pretty directly into margin improvement. That is an encouraging answer but it is also somewhat hard to verify until volumes actually do recover, so I think there is still some uncertainty there.

- **What is the strategic rationale for spinning off FedEx Freight, and why now?**

This one caught my attention because the freight spinoff is a pretty big deal and changes what you are buying if you invest in FedEx today. FedEx's USP has always been that it does everything in and around shipping, so breaking that apart is a significant shift. Management said that the two businesses have different investor profiles and that separating them would help the market value each one more accurately.

Boeing Earnings Q&A

Boeing *4Q 2025 Earnings Call*

Main presenters:

- Kelly Ortberg (CEO)
- Jay Malave (CFO)

Summary:

Kelly starts off the presentation acknowledging that Boeing has not fully turned around yet, but that they are making real progress and slowly getting back to the "Boeing everyone expects us to be." He claims they were able to deliver the most commercial airplanes since 2018. They delivered 600 airplanes in 2025. Safety and safety operations were something that was mentioned time and time again. Both Kelly and Jay talked about the Boeing 737 MAX 10 and how they had just received approval from the FAA for flight testing and certification. The Boeing 777X was also mentioned, but that it had a durability issue and needed more time. Kelly said he truly believed that the 777X was going to be their next flagship plane. The rest of the presentation was talking about how much better Boeing is and will be in the upcoming years with their new safety plans and acquisitions.

Q&A

- **What are the bottlenecks when increasing production from 38 to 42 Boeing 737s.**

I think this is a great question to ask Boeing, especially with their more recent safety and quality concerns when it comes to creating and delivering commercial planes. If the claim is that they are ensuring no future mistakes when it comes to compromising quality and safety for production yield, what is their plan?

Management responded with the common bottleneck being the supply chain. However, they think the supply chain will not be an issue for a while. They want to go from 42 to 47 and eventually 52. Stabilizing at 42 before moving to 47 is the key, they will use the same strategy they used to get from 38 to 42. They agreed that the supply chain will most likely start becoming an issue when they go from 47 to 52, but that they are ready to invest into improving both the supply chain and their workforce to keep up with production demands.

- **How do you prepare for these production increases that the Department of Defense is looking for?**

I think this is a very interesting question as it focuses less on the commercial side of things and more the military. With the current conflict happening in the Middle East, there are bigger and bigger contracts for Boeing.

Management responded by stating that it is a *must* to keep resources high to keep up with the demands. They delivered 16 tankers in 2025 and plan to deliver 19 tankers in 2026. The Department of War is focused on having their deliveries on time. To do so, Boeing has to make strong investments in their own growth. The Airforce has decided to have a sole source for their specific tanker. They are planning on increasing the price of these tankers this fall as the contract for the past decade was rough and not fair for Boeing. They believe that they will sign another multi-year contract with the government. Their biggest major capital investment is in the F-47.

Portfolio Comparison Table

Metric	Funko	Boeing	FedEx
Market Cap	247.84M	181.88 B	67.92B
Stock Price (Dec 31, 2022)	10.45	190.57	173.20
Stock Price (Dec 31, 2025)	3.4	217.12	288.86
Shares Outstanding	55.44M	788.3M	238.61M
Revenue	908.21M	89,463M	87,926M
Net Income	(67.36M)	2,238M	4,092M
Cash & Cash Equivalents	42.14M	10,921M	5,502M
Total Assets	685.23M	168,235M	87,627M
Total Debt	224.18M	162,778M	19,899M
Shareholder Equity	186.13M	5,454M	28,074M
Diluted EPS	(1.24)	2.48	16.81

Stock	Stock Price (12/31/2022)	# of Shares Purchased	Value of Holdings ($) on 12/31/2022
Funko (FNKO)	10.45	319	3,333.33
Boeing (BA)	190.57	17	3,333.33
FedEx (FDX)	173.20	19	3,333.33